International Financial Statement Analysis

Chapter 2: Financial Reporting Standards

Mahdi Toobaee

Learning Outcomes

- Describe the objective of financial reporting and the importance of financial reporting standards in security analysis and valuation;
- Describe the roles of financial reporting standard-setting bodies and regulatory authorities in establishing and enforcing reporting standards;
- Describe the International Accounting Standards Board's conceptual framework, including qualitative characteristics of financial reports, constraints on financial reports, and required reporting elements;
- Describe general requirements for financial statements under International Financial Reporting Standards (IFRS);
- Describe implications for financial analysis of alternative financial reporting systems and the importance of monitoring developments in financial reporting standards.

The Objective of Financial Reporting

- To provide financial information about the reporting entity that is useful to users in making decisions about providing resources to the reporting entity, where those decisions relate to equity and debt instruments, or loans and other forms of credit.
- Investors: Buy, sell, or hold.
- Lenders and other creditors:
  - Lend or not
  - Amount and terms

Financial Reporting Use in Security Analysis And Valuation

- Decisions by investors to buy, sell, or hold securities depend on expectations about returns (dividend yield and price appreciation).
- Expectations about returns depend on prospects for an entity's future cash flows, and assessing those prospects requires information about an entity's:
    - resources, claims to resources, and the use of resources by management and the board.
- Financial reports are not designed to show the value of a reporting entity!
- They provide information to help users estimate the value of the reporting entity.

Importance of Financial Reporting Standards in Security Analysis and Valuation

- The complexity involved in setting standards reflects the complexity of the underlying economic reality.
- Complexity and uncertainty create the need for judgment by preparers.
- Judgment can vary among preparers, so standards are needed to achieve consistency.
- Even though standards limit the range of acceptable approaches, preparers still must make judgments and use estimates.
- By understanding how and when standards require judgments and estimates that can affect reported numbers, an analyst can make better use of the information.

Example

- During an accounting period, Incook Inc., a hypothetical company that imports gourmet cookware sets, had the following transactions:
- Acquired office equipment for $9,000 in cash.
- Paid rent and other miscellaneous business expenses of $10,000.
- Purchased 100 sets of cookware at a cost of $700 each and paid 100% on delivery.
- Sold 60 sets to customers for $1,200 each ($72,000 total). In order to make the sales, Incook had to offer credit terms to many customers. At year-end, customers owed Incook $15,000 for cookware that had been delivered (i.e., $57,000 cash was collected from customers and, therefore, $15,000 remained outstanding from customers).
- Incook's two owners plan to split the profits 50/50.

If no accounting standards existed, what alternatives might be proposed as reasonable ways to compute the profits?

Example: Possible Approaches

Accounting standards limit the range of allowable approaches.

Incook would report sales revenues of $72,000; however, that amount would likely be reduced to reflect an *estimate* for uncollectible accounts (potential bad debts).

Incook would report cost of goods sold of $42,000:

- It sold 60 units, each of which cost $700.
- If the per-unit costs were different, cost of goods sold would require the choice of inventory cost method.

Incook would report some amount of expense for at least part of the office equipment. The amount of the expense would depend on:

- Estimated useful life of the equipment,
- Estimated salvage value of the equipment at the end of its life, and
- Choice of depreciation method.

Standard-setting Bodies and Regulatory Authorities

- Standard-setting bodies set the standards (private sector, self-regulated organizations),
- Regulatory authorities recognize and enforce the standards (governmental entities).
- However, regulators often retain the legal authority to establish financial reporting standards in their jurisdictions and can overrule private sector standard-setting bodies.

Examples of Standard-setting Bodies

- The International Accounting Standards Board (IASB) sets IFRS (International Financial Reporting Standards).
- The U.S. Financial Accounting Standards Board (FASB) sets U.S. GAAP (generally accepted accounting principles).
- The Accounting Standards Board (AcSB) is an independent body with the authority to develop and establish accounting standards for use by all Canadian entities outside the public sector.

Examples of Regulatory Authorities

- United States: Securities and Exchange Commission (SEC)
- United Kingdom: Financial Conduct Authority (FSC)
- Canada: Canadian Securities Administrators (CSA)
  - Since Canada does not have a federal, nationwide securities regulator, the CSA coordinates to harmonize rules and oversee the enforcement of financial reporting standards.

International Organization of Securities Commissions (IOSCO)

- Not a regulatory authority, but an international association of securities regulators formed in 1983.
- Objectives of IOSCO members:
  - Develop international standards of market regulation to protect investors and address systemic risks.
  - Exchange information and cooperate in enforcement to enhance investor protection and promote investor confidence.
  - Exchange information to assist in development of markets, infrastructure, and regulation.

The International Financial Reporting Standards Framework

- The framework is designed to:
  - assist standard setters in developing and reviewing standards;
  - assist preparers of financial statements in applying standards and in dealing with issues not specifically covered by a standard;
  - assist auditors in forming an opinion on financial statements; and
  - assist users in interpreting financial statement information.
- Information is needed about the company's

The International Financial Reporting Standards Framework (cont'd)

- Information is needed about the company's
  - financial position: Its resources and financial obligations.
  - financial performance: How and why the company's financial position changed in the past (can be useful in evaluating potential changes in the future).
  - cash: How did the company obtain cash (by selling its products and services, borrowing, other)? How did the company use cash (by paying expenses, investing in new equipment, paying dividends, other)?
- Although financial reports do not show the value of an entity, they are useful in estimating the value of an entity.

Qualitative Characteristics of Financial Reports

- The Conceptual Framework identifies two fundamental qualitative characteristics that make financial information useful:
  - Relevance: Information is relevant if it would potentially affect or make a difference in users' decisions.
    - Materiality: Omission or misstatement of the information could influence users' decisions.
  - Faithful representation: Information that faithfully represents an economic phenomenon that it claims to represent is ideally complete, neutral, and free from error.

Qualitative Characteristics of Financial Reports (cont'd)

- Enhancing qualitative characteristics:
  - Comparability allows users to identify and understand similarities and differences of items.
  - Verifiability means that different knowledgeable and independent observers would agree that the information presented faithfully represents the economic phenomena it purports to represent.
  - Timeliness: Timely information is available to decision makers prior to their making a decision.
  - Understandability: Information should be understandable to users with a reasonable knowledge of business and economic activities and who are willing to study it diligently.
- Financial information exhibiting these qualitative characteristics—fundamental and enhancing—should be useful for making economic decisions.

Constraints on Financial Reports

- Although it would be ideal for financial statements to exhibit all of these qualitative characteristics and thus achieve maximum usefulness, it may be necessary to make tradeoffs across the enhancing characteristics.
- The aim is an appropriate balance among the enhancing characteristics.
- Optimally, benefits derived from information should exceed the costs of providing and using it.
- Financial statements, by necessity, omit information that is non-quantifiable:
  - customer loyalty, a positive corporate culture, environmental responsibility, etc.

Example 2 Balancing Qualitative Characteristics of Useful Information

- When a company records sales revenue, it is required to simultaneously estimate and record an expense for potential bad debts (uncollectible accounts).
- Including this estimated expense is considered to represent the economic event faithfully and to provide relevant information about the net profits for the accounting period.
- The information is timely and understandable, but because bad debts may not be known with certainty until a later period, inclusion of this estimated expense involves a sacrifice of verifiability.

Companies are *most likely* to make tradeoffs between which of the following when preparing financial reports?

A) Relevance and materiality

B) Timeliness and verifiability

C) Relevance and faithful representation

Companies are *most likely* to make tradeoffs between which of the following when preparing financial reports?

A) Relevance and materiality

B) Timeliness and verifiability

C) Relevance and faithful representation

The Elements of Financial Statements

Measurement of Financial Position	Assets	• A present economic resource controlled by the entity as a result of past events. • An economic resource is a right that has the potential to produce economic benefits. • Assets are what a company owns (e.g., inventory and equipment).
	Liabilities	• A present obligation of the entity to transfer an economic resource as a result of past events. • An obligation is a duty or responsibility that the entity has no practical ability to avoid. • Liabilities are what a company owes (e.g., bank borrowings).
	Equity	• Assets less liabilities. • Equity is the residual interest in the assets after subtracting the liabilities. • For public companies, also known as "shareholders' equity" or "stockholders' equity"
Measurement of performance	Income	• Increases in assets, or decreases in liabilities, that result in increases in equity, other than those relating to contributions from holders of equity claims. • Income includes both revenues (e.g., the sale of products or provision of services) and gains (the sale of surplus equipment).
	Expenses	• Decreases in assets, or increases in liabilities, that result in decreases in equity, other than those relating to distributions to holders of equity claims. • Expenses include those related to operating activities such as cost of goods sold and operating expenses including wages, rents, and other items. • Losses are also considered expenses and can result from the sale of assets at less than their carrying values, impairments of asset values and, a variety of other items.

Underlying Assumptions in Financial Statements

- Two important assumptions underlie financial statements: accrual accounting and going concern.
- **Accrual accounting**: financial statements should reflect transactions in the period when they actually occur, not necessarily when cash movements occur.
- **Going concern:** the company will continue in business for the foreseeable future.

Recognition of Financial Statement Elements

- Recognition means that an item is included in the balance sheet or income statement.
- Recognition occurs if the item meets the definition of an element and satisfies the criteria for recognition.
- Recognition is appropriate if it results in both relevant information about assets, liabilities, equity, income, and expenses, and a faithful representation of those items, because the aim is to provide information that is useful to investors, lenders, and other creditors.

Measurement of Financial Statement Elements

- Measurement is the process of determining the monetary amounts at which the elements of the financial statements are to be recognized and carried in the balance sheet and income statement.
- **Historical cost:**
  - For assets: the amount of cash or cash equivalents paid to purchase an asset, including any costs of acquisition and/or preparation.
  - For liabilities: the amount of proceeds received in exchange for the obligation.
- **Amortized cost:** Historical cost adjusted for amortization, depreciation, or depletion and/or impairment.

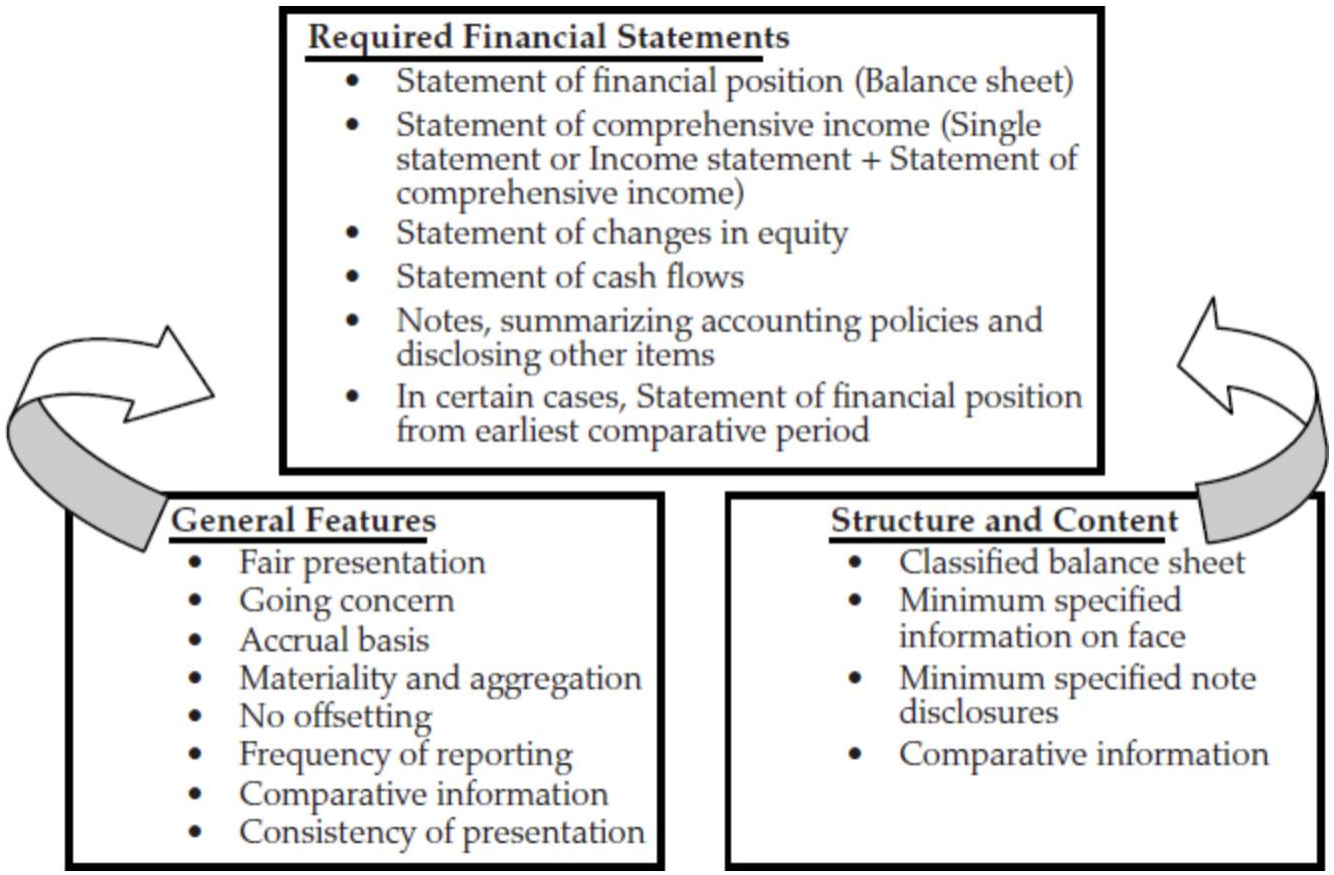
Measurement of Financial Statement Elements

- **Current cost:**
  - For assets: the amount of cash or cash equivalents that would have to be paid to buy the same or an equivalent asset today.
  - For liabilities: the undiscounted amount of cash or cash equivalents that would be required to settle the obligation today.
- **Realizable (settlement) value:**
  - For assets: Realizable value is the amount of cash or cash equivalents that could currently be obtained by selling the asset in an orderly disposal.
  - For liabilities: Settlement value is the undiscounted amount of cash or cash equivalents expected to be paid to satisfy the liabilities in the normal course of business.

Measurement of Financial Statement Elements

- **Present value (PV):**
  - For assets: the present discounted value of the future net cash inflows that the asset is expected to generate in the normal course of business.
  - For liabilities: the present discounted value of the future net cash outflows that are expected to be required to settle the liabilities in the normal course of business.
- **Fair value:** the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This may involve either market measures or present value measures, depending on the availability of information.

General Requirements for Financial Statements



General Features of Financial Statements Financial Statements

- **Fair Presentation:** requires the faithful representation of the effects of transactions, other events, and conditions.
- **Going Concern:** Financial statements are prepared on a going concern basis unless management either intends to liquidate the entity or to cease trading.
- **Accrual Basis:** Financial statements (except for cash flow information) are to be prepared using the accrual basis of accounting.
- **Materiality and Aggregation:** Omissions or misstatements of items are material if they could, individually or collectively, influence the economic decisions that users make on the basis of the financial statements.

General Features of Financial Statements Financial Statements (cont'd)

- **No Offsetting:** Assets and liabilities, and income and expenses, are not offset unless required or permitted by an IFRS.
- **Frequency of Reporting:** Financial statements must be prepared at least annually.
- **Comparative Information:** Financial statements must include comparative information from the previous period.
- **Consistency:** The presentation and classification of items in the financial statements are usually retained from one period to the next.

Structure and Content Requirements

- **Classified Statement of Financial Position (Balance Sheet):** requires the balance sheet to distinguish between current and non-current assets, and between current and non-current liabilities unless a presentation based on liquidity provides more relevant and reliable information (e.g., in the case of a bank or similar financial institution).
- **Comparative Information:** For all amounts reported in a financial statement, comparative information should be provided for the previous period unless another standard requires or permits otherwise.

Comparison of IFRS with Alternative Reporting Systems

Basis for Comparison	US GAAP	IFRS
Developed by	Financial Accounting Standard Board (FASB)	International Accounting Standard Board (IASB)
Based on	Rules	Principles
Inventory valuation	FIFO, LIFO, and Weighted Average Method	FIFO and Weighted Average Method
Extraordinary items	Shown below (at the bottom of the income statement)	Not segregated in the income statement
Development cost	Treated as an expense	Capitalized, only if certain conditions are satisfied
Reversal of Inventory	Prohibited	Permissible, if specified conditions are met

Monitoring Developments in Financial Reporting Standards

- In financial statement analysis, the analyst must be aware that reporting standards are evolving.
- Analysts need to monitor ongoing developments in financial reporting and assess their implications for security analysis and valuation.
- The need to monitor developments in financial reporting standards does not mean that analysts should be accountants. An accountant monitors these developments from a preparer's perspective; an analyst needs to monitor from a user's perspective.